

Workplace Trends in 2022

Needless to say, a lot is in store when it comes to workplace trends in 2022. Here's what to expect in the future of work in the new year (and beyond).

1. Continuation of the Great Resignation

Workers—especially in the U.S. and U.K.—are quitting their jobs in record numbers. In the U.S., for instance, 4.2 million workers quit their jobs in October 2021, close to the record high seen in the previous month. As a result, **employee retention** is now a top priority for many teams and organizations. What many are referring to as the “Great Resignation” is expected to continue well into 2022.



Source: Bureau

of Labor Statistics

As noted in [this BBC article](#), the Great Resignation is often misunderstood. Some experts say the reasons behind this trend are multi-faceted (and not tied solely to the pandemic). Plus, many media reports are highlighting surveys illustrating that a high percentage of workers *intend* to switch jobs. But the overall number of workers *actually* quitting still makes up a small percentage of the workforce. (People want to

switch jobs for reasons including poor leadership at their current employer, the lack of remote work as an option, and limited visibility when it comes to career paths.)

Data shows many unemployed people aren't rushing to fill open jobs, either. Some economists say we face more of a "Great Hesitation" about returning to the workforce than a Great Resignation.

2. Remote and Hybrid Work

We couldn't talk about emerging workplace trends in 2022 without mentioning remote and hybrid work, largely stemming from the pandemic. This phenomenon has affected millions of workers worldwide. Here are a few key data points to consider:

- In a FlexJobs survey of about 4,600 job seekers conducted in summer 2021, 58% said they want a fully remote role post-pandemic, and 39% preferred a hybrid setting.
- According to PwC's 2021 Health and Well-Being Touchstone Survey, 91% of employers said they added "flexible work arrangements" to their employee benefits due to COVID-19.

3. Prioritization of Employee Well-Being

Companies have increasingly been focusing on work-life balance and the mental health of employees—and this will continue into 2022, especially as the pandemic continues leading to more stress and burnout. Prioritizing employee well-being can also include providing additional employee benefits, greater flexibility, sign-on bonuses, and an overall positive workplace experience.

During the pandemic, this focus on the "whole employee" has been a way for organizations to attract and retain talent. The PwC survey revealed that:

- 53% of employers added mental health programs to their employee benefits due to the pandemic

- 44% of the organizations surveyed said they added or increased paid time off and wellness programs for their workforce

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4. Talent Shortages and Reskilling Within Organizations

The skills required in many industries are changing. And nearly 7 in 10 companies globally reported talent shortages and difficulties hiring in 2021, a 15-year high.

European companies in particular are struggling to fill open roles. For employers, retraining existing employees to fill internal positions has become one solution. In fact, according to a World Economic Forum report, about 40% of the global workforce will need reskilling of up to six months by 2024.



Source: World Economic Forum

5. A Focus on Skills Over Jobs

In his report “HR Predictions for 2022,” global research analyst Josh Bersin writes that in the past, companies viewed employee training as important but not

necessarily as a competitive advantage. That's quickly changing due to digitalization and automation.

Leaders recognize that focusing on **upskilling employees** and career pathing can help their organizations close skills gaps. This means using a whole new set of tools to identify individual skill sets as opposed to more traditional job grading. Skills development can help organizations meet their most urgent business needs—and skills can be measured using what is referred to as “**skill data**.”

6. Emphasis on Soft Skills

Soft skills, also referred to as “**power skills**,” were important prior to the pandemic. But the need to build relationships virtually and work with reduced oversight has made **soft skills in the workplace** even more important.

In fact, in our 2021 Global Career Impact Survey, many of the top skills that respondents identified as upskilling needs within their teams or organizations were soft skills. Among them were management and leadership (34%), critical thinking (24%), creativity (24%), and problem-solving (20%). In his report, Bersin also predicts that organizations' focus on these skills will grow. Companies will reassess their leadership models and the skills leaders need to succeed in their roles.



7. Increased Diversity, Equity, and Inclusion (DEI) Efforts

Especially in the U.S., there's going to be a greater focus on DEI in 2022—with a vast majority of U.S. workers (nearly 80%) already saying they want to work for companies that make DEI a priority, according to the **CNBC/SurveyMonkey Workforce Survey**. At the same time, PwC found in its 2021 survey that diversity and inclusion was the No. 1 area of focus for businesses to retain and attract talent.

8. Greater Use of AI and Automation

These were both identified as top upskilling needs within teams and organizations in our 2021 Global Career Impact Survey—and with good reason. Artificial intelligence and automation have transformed the workplace in countless ways. They've improved and expedited internal processes while ensuring consistent output and even increasing employee engagement. (Read more about the **pros and cons of automation in the workplace**.)

With these workplace trends, the skills employees need to achieve positive business outcomes for their organizations are changing. As certain jobs are replaced by AI,

automation, and other new technologies, reskilling internally—as opposed to hiring new employees—has become a cost-saving, effective solution.

9. Transformation of HR Using Tech and Data

Going into 2022, more organizations are transforming their human resources departments as they leverage data analytics in direct sourcing and talent acquisition. HR workers can also use data to find out why employees are leaving their organizations and stem turnover. **People analytics**, or insights derived from data related to workforce talent, are helping employers uncover important information about organization-wide performance and employees' individual needs.

When it comes to tech, companies are turning to cloud computing, collaboration technologies, and digitization to improve HR operations and the employee experience, according to the **Society for Human Resource Management**.

10. An Emphasis on Continued Employee Growth

As more leaders prioritize upskilling and reskilling in the workplace, they're aiming to embed a **growth mindset** into their organization's culture. A growth mindset stems from the belief that you have the capacity to learn and grow. This contrasts with a fixed mindset—a belief that certain qualities of an individual (like talent or intelligence) are innate.

Two examples of companies that have made organization-wide growth mindsets high priorities are **Microsoft** and **Unilever**. In 2022 overall, establishing a culture of learning with organizations will become even more important to closing skills gaps.